Happy Forgings Ltd

Concall Tracker, Q1 2027 · NSE: HAPPYFORGE · BSE: 544057 · written 6 Nov 2026 · builds on our Q4-2026 report · source: company concall transcripts via Screener.in

> **Plain-word key. Forging**: hammering hot steel into shape. **Machining**: precision-cutting the forged part into a finished component; the more of it they do, the more they earn per kilo. **Crankshaft**: the spinning shaft inside an engine. **OEM**: the vehicle or machine maker that buys the part. **Realisation per kg**: average price earned per kilo of parts sold. **EBITDA**: operating profit before interest, tax and depreciation.

1. Snapshot

A Ludhiana company that forges and machines heavy, safety-critical steel parts (crankshafts, axle beams, steering knuckles) for trucks, tractors, cars and industrial machines in India and abroad. It's one of India's biggest makers of large crankshafts and is building a plant for very heavy parts aimed at power and data-centre engines.

Number	Value	What it means
Market value	₹16,093 cr	What the market says the company is worth today (share price ₹1,694).
Q1 FY27 sales	₹449 cr	Apr-Jun 2026 sales, up 27%. A record quarter.
Q1 FY27 EBITDA	₹141 cr	Up 39%. Margin 31.3%, so about ₹31 of operating profit on every ₹100 of sales. Fourth quarter in a row above 30%.
Q1 FY27 profit after tax	₹91 cr	Up 39%. Also a record.
Volume growth	23%	Tonnes shipped, up nearly a quarter. Most of the sales growth was real volume, not price.
Realisation	₹253 per kg	Up about 3% on last year. Creeping up as the mix gets more complex.

Market value from Screener.in today. Quarter figures from management on the Q1 FY27 call.

2. Which calls were read

Quarter	Call date	How it was used
Q3 FY24 to Q3 FY26 (9 calls)	Feb 2024 to Feb 2026	Carried forward from our Q4-2026 report
Q4 FY26	22 May 2026	The prior report's last call (its coverage boundary)
Q1 FY27	**5 Aug 2026**	**Newly read in full ★**

Only the August call was read in full this time. The backstory comes from the earlier report, which read every call since listing.

★ Latest concall highlights: Q1 FY27 (5 Aug 2026)

- **Best quarter ever.** Sales ₹449 cr (up 27%), profit ₹91 cr (up 39%), margin 31.3%. Every segment grew except truck exports, which were hit by shipping delays.
- **Price hikes won.** After input costs went up, they got OEMs to pay more for the first time in about three years. Only about 30% of it showed up in Q1. The rest comes from Q2.
- **New areas are pulling.** Industrial parts grew about 50%, off-highway over 40% and cars over 70%. Industrial is now 16% of sales and cars 8%. Management wants the two together at roughly half of sales in three to four years.
- **Order book holds at ~₹950 cr** of extra yearly sales over two to three years. About 40% is industrial, 60% is export.
- **Tone:** confident. They kept FY27 guidance (high-teen volume growth, margins at FY26 levels) and said they "should be performing better than that". They expect margins above 30% from here, helped by a solar plant from early 2027.

Business mix & capacity

India vs abroad: mostly India. On the call, management's segment-by-segment export figures added up to roughly a third of sales, with Europe about 60% of exports. Plain read: mainly a domestic business, but the new order book leans export.

Segments (Q1 FY27): trucks 33%, farm 32%, industrial 16%, off-highway 11%, cars 8%.

Capacity use: forging 59% and machining 78% after new lines were added this quarter. Forging capacity is now 152,000 tonnes and machining 75,200 tonnes. Plain read: there's room to grow before the next big press is needed. The big heavy-parts plant should start in the second half of FY28.

★ Since our last report

Builds on the Q4-2026 report (last call 22 May 2026). Prior verdicts: trigger **YES**, management **YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Shift to pricier machined parts plus new industries	Industrial, cars and off-highway all grew 40-70%	Confirmed
Management: YES	Same team, steady story, delivers	Guidance kept and beaten in Q1; price hikes landed as promised	Confirmed
FY27 high-teen volume growth	Guided in May	23% in Q1	Improving
~₹950 cr order book	Signed, over 2.5-3 years	Still ~₹950 cr, now said over 2-3 years	On-track
Heavy-parts plant	Production FY27-28, meaningful FY28-29	Contribution from Q3/Q4 FY28, meaningful from FY29	On-track (late end of the range)
Export truck weakness	Down ~25% in Q4 FY26	Down ~12%, blamed on shipping delays	Improving

Verdict change: both unchanged. A quarter that did what they said and a bit more.

3. The earnings trigger

> Same driver as before, now running faster. Happy Forgings keeps moving from simple forged lumps to fully machined, hard-to-make parts that earn more per kilo, and from trucks and tractors into industrial, car and export work. This quarter the new areas grew several times faster than the old ones, margins hit a record, and a price increase is still coming through. The next big step is the heavy-parts plant for power and data-centre engines, which pays from FY29. The risk is that trucks and tractors are still about two-thirds of sales, and those swing with the cycle.

Driver	What management said	Evidence so far	Horizon	Strength	Change since last report
More machining, higher value per kg	Keep raising machined share and realisation	Machining 90% of sales; realisation ₹253/kg, up ~3%	Now	Strong	unchanged
Industrial, cars, off-highway	Industrial to double in 3-4 years; cars to 12-15%	Industrial +50%, cars +70%, off-highway +40% this quarter	Now to FY30	Strong	↑ faster growth
~₹950 cr order book	Delivered over 2-3 years at higher prices per kg	Still intact; 60% export	FY27-FY29	Strong	unchanged
Heavy-parts plant (₹650 cr)	Parts up to 3 tonnes for energy and data centres	Being built; ~80% gross margins expected on machined parts	FY29+	Moderate	unchanged
Price hikes and solar power	Pass on costs; solar to save 1-1.5% of sales	Hikes agreed, full effect from Q2; solar on from early 2027	FY27-28	Moderate	new this quarter

4. Has management been consistent?

Period	What was promised	What actually happened	Verdict
FY24 (carried forward)	15-20% medium-term growth	FY25 slowed in a truck/tractor slump; back to 20%+ since late FY26	Partly, now back on track
FY24 onward (carried forward)	Hold margins in a 27-31% band	31.3% in Q1 FY27; fourth quarter above 30%	Delivered
FY24 onward (carried forward)	Grow industrial and car share	Industrial 16%, cars 8% and both growing fast	Delivered
Q4 FY26	High-teen volume growth in FY27	23% in Q1	On-track
Q4 FY26	Recover input-cost increases from customers	Price hikes agreed in Q1	Delivered
FY24 onward	Look at acquisitions	Still "open", now only for energy and aerospace technology	Too early

Has the story drifted? No. It's the same team telling the same story it told at listing, and the numbers keep matching it. The heavy plant's start has edged to the back half of FY28, but that's within the range they gave. The only thing that never seems to happen is an acquisition, and they've now narrowed it to areas where they need the know-how, which is a sensible answer rather than a dodge.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Record sales, record margin, new segments growing much faster than the old ones, and a price hike still to come through. The order book and the heavy plant give a clear path into FY29. The main risk is the truck and tractor cycle turning, since those are still most of the business.

Management consistent? → YES vs last quarter: unchanged

They said FY27 would grow in the high teens with margins held. Q1 did better on both. They said they'd get price increases, and they did. The capex timeline is holding. Hard to ask for more from one quarter.

Built from Happy Forgings' own earnings-call transcripts on Screener.in and Screener's snapshot figures. Not investment advice.